

Two days after breaking out upward at B, the stock reversed. This behavior is an example of a throwback, where price returns to (or nears) the breakout price. In this example, though, the stock continues lower, dropping all the way to C. The day after bottoming at C, the company announced the pricing of “senior notes offering due 2024.” Maybe that news sent the stock back up.

If you had bought this stock because of the upward breakout and placed a stop-loss order a penny or two below the bottom of the inverted roof, you'd have been stopped out for a loss at C. Worse, the stock would have rubbed your nose in it when price shot back up to D.

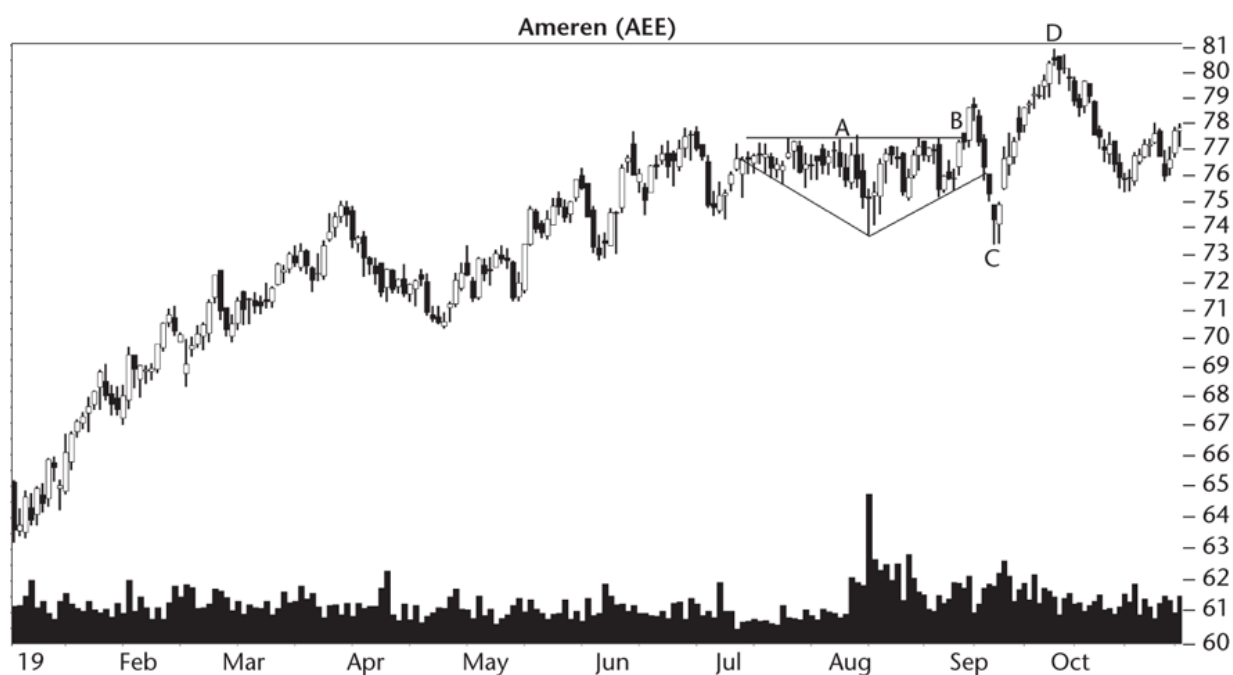


Figure 54.3 This inverted roof fails to see a sustained upward price trend.

This inverted roof is not an example of a busted pattern because price didn't *close* below the bottom of the pattern, although it was close at C. There's still time to bust it, however, because price hasn't climbed more than 10% above the top of the pattern yet. [A check of the pattern in July 2020 shows it never did bust. The closing price tied the low in early December 2019 and then soared to over 87 before Covid-19 virus fears chopped the stock down to 58 in a few weeks].

My sense of inverted roof pattern failures is that many breakouts look like this corkscrew. There is no trend direction. Price just wobbles up and down,